

Exercise B2 | ECON 0100

Pumpkin pasties are produced by many sellers according to the following supply curve:

$$P = 2 + \frac{Q_s}{10}$$

Prices are in galleons and quantity is in pasties.

Q1 | Quantity Supplied

- a) What is quantity supplied at 10 galleons? _____
- b) What is marginal cost at 9 pasties? _____

Q2 | Producer Surplus

What is producer surplus at 10 galleons? _____